

Indian Railway Finance Corporation Ltd

IRFC

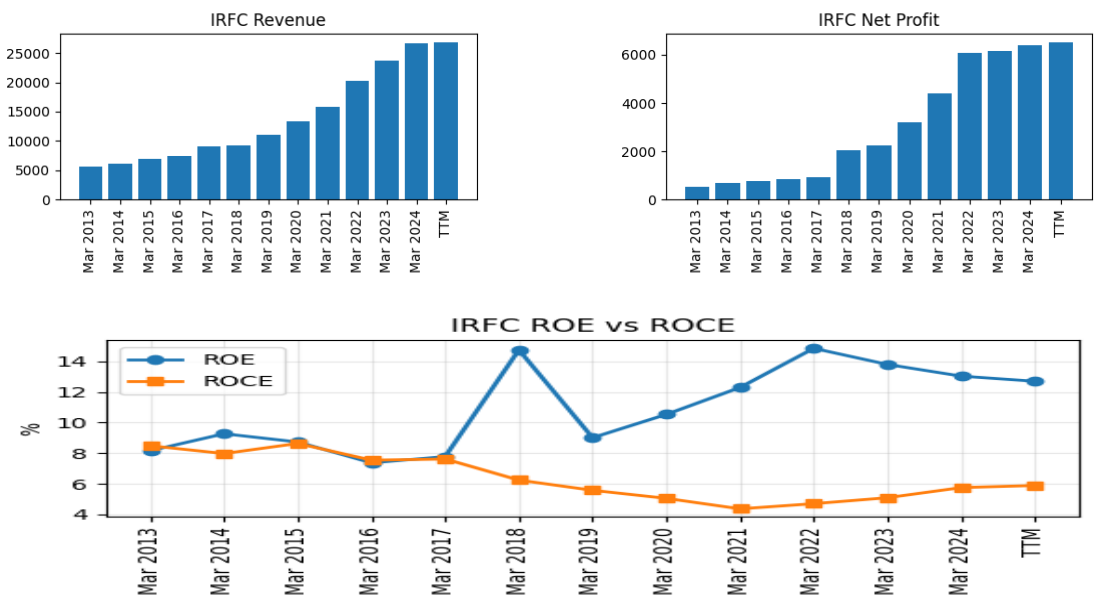
Key Financial Metrics

ROE 12.70%	ROCE 5.89%	Debt / Equity 7.83
Revenue CAGR 15.33%	FCF Conversion 123.42%	Quality Score 47.85

Company Profile

Company	Indian Railway Finance Corporation Ltd
Sector	Financials
Industry	Speciality Finance
Market Cap (■ Cr)	2,618,348.58
P/E Ratio	9.81
P/B Ratio	3.91
Dividend Yield	2.82%

Financial Performance



AI Investment Summary

Indian Railway Finance Corporation Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, rapid revenue growth, accrual risk cash-flow quality and elevated leverage. The overall financial quality score is 47.9/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: High leverage relative to equity can restrict future capital flexibility.; Return on capital employed below 10% indicates weak capital efficiency.; Low interest coverage indicates potential difficulty servicing debt if earnings fall.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Net profit compounding at above 20% over 5 years creates significant shareholder value.	• High leverage relative to equity can restrict future capital flexibility. • Return on capital employed below 10% indicates weak capital efficiency. • Low interest coverage indicates potential difficulty servicing debt if earnings fall.

Investment Recommendation

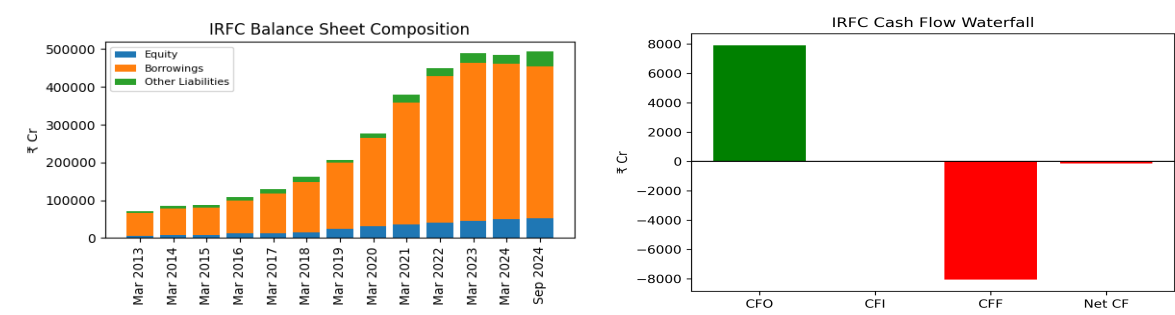
Recommendation	REDUCE
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:

The recommendation is based on an adjusted financial score of 47.9/100, supported by 4 identified strengths, 3 identified risks, and cash-flow quality rated as Accrual Risk.

Adjusted Score: 47.9

Balance Sheet & Cash Flow



Financial Health

Profitability	Moderate
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Growth	Strong
Cash Flow	Strong
Leverage	Weak
Valuation	Cheap

Capital Allocation

Reinvestor